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The Finance Department has been operating for years at only the very minimum staffing levels that allow us to perform our key functions: (a) processing the City's cash receipts; (b) billing and collecting tax and fee revenues; (c) procurement of the goods and services for critical City operations; (d) ensuring key controls to protect City assets; and (e) ensuring proper accounting and financial reporting for City management, bond investors, and required statutory and regulatory oversight.

To help address the City's current fiscal crisis, and at the direction of City leadership, we have proposed certain cost cutting measures resulting in the elimination of certain General Fund positions. While we recognize that changes must be made to bring expenses in line with recurring revenues, cutting these positions will have dire consequences for our operations and our ability to provide services to other departments, City residents and all our mandated requirements.

Some of the specific impacts are:

Eliminating the **Systems Accountant** position will result in a vastly decreased ability to internally troubleshoot technical and other issues with our financial accounting and reporting system (ERMA). Without this internal support, the City will have to engage outside consultants, increasing timelines, expense, and impacting the continuity of Finance and other City financial operations. This position regularly resolves system issues and advises users, and response times from software vendors (Tyler and others) can be delayed by days or more. Decreased assistance will be provided to ERMA users across all City departments for all financial transactions. There will also be decreased Citywide support for other financial systems and implementation projects. The Systems Accountant plays a key role as a bridge between the financial operations subject matter experts and the information technology support of all financial systems. There will be less innovation and fewer improvements to payment acceptance and collections systems - potentially impacting revenues. Finally, cutting this position will cause longer upgrade cycles and increase costs for outside consulting support, and there will be an increased burden on the Department of Information Technology to scope projects, gather requirements, and assess resources needed for projects that involve billings, payments, or otherwise interface with other City financial systems.

Without the **Senior Systems Analyst**, the department will have a much more limited

ability to help manage financial system implementation projects. This position was created to manage the assignment of implementation tasks to department staff, to ensure efficient progress toward system innovation while preserving continuity of ongoing operations. It allows Finance to implement financial systems with significantly less project management resources needed from the IT Department. Since it was recently vacated, the pace of implementation has slowed dramatically. Finance has many future projects: Replacement of FUND$ property tax assessment; a new Business License Tax system; transferring General Billing and Cash Receipting to ERMA from FUND$; a new Land Management system to replace FUND$; a Collections Management system; a Miscellaneous Tax assessment and collections system (Hotel, Parking Lot, Utility Users, and others); and the expansion of online payment options for City customers. Cutting this position leaves significantly less capacity for innovations in financial systems, as the IT Department does not have knowledge of accounting and financial operations needed to effectively support and plan these projects.

Other than an Assistant Management Analyst position which is restricted by its funding sources to working on Property Tax assessment and billing, this **Associate Management Analyst** is the only analyst in the Finance Department. Without this position, the department will have to reduce the volume of analysis that can be performed internally, and will add to the workload of divisional managers, who will have to reduce support and oversight of their respective teams. Another result will be a decreased ability to report out revenue details for specific streams and analyze receivable balances, which could hamper collections activities and lead to reduced revenues for both General Fund and the Zero Waste Fund. This position also currently serves as a backup escalation point when the Revenue Collection Manager is unavailable, and so without it, both staff and City customers, residents and other taxpayers will see reductions in support.

The elimination of two **Revenue Development Specialist** positions will result in significantly reduced capacity for auditing businesses to recover unreported and underreported taxes. There will also be lower collections efforts and larger receivables balances going uncollected due to statutory limitations on the timeframe of collections efforts which may be pursued on delinquent customer accounts.

A reduction of one **Senior Accountant** will impose an increased workload on an already overburdened accounting staff, decreasing morale and making resignations more likely. It would require the Accounting Manager to assume many duties of this Senior Accountant, and to abide by internal controls requiring segregation of certain duties, it would also push a great deal of work to the Department Director. The analysis and implementation of GASB pronouncements will need to be done by external consultants.

There will be an increased risk to the City's ability to complete the annual financial audit and federal grants Single Audit by prescribed deadlines, as well as impacts to the timeliness of other statutory reporting requirements. Ultimately, this could cause damage to the City's reputation for financial management and lead to higher borrowing cost if bond ratings are affected.

In short, the reduction of these positions will add risk the efficiency and safety of the City's financial operations, while crippling our capacity for innovation in the services we provide to City administration and the public at large.

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